believed war was likely and those who viewed the respective mobilizations as intended to achieve a negotiated outcome. Neither country's leadership wanted war. But nor was India prepared to stand down without a public shift in Pakistan's policy of supporting militant proxies. Further, even a military mobilization launched for negotiating reasons brought with it the risk of unintended escalation. This was a major concern among US policymakers who sought to shape a diplomatic outcome that would avert war and enable Pakistan to refocus on assisting American efforts in Afghanistan.[58]

US officials began pressuring the Musharraf regime to take concrete steps toward affecting such a shift, including action against Lashkar and Jaish. The US government already had classified HuM as a terrorist group in the 1990s. Several weeks after 9/11 it froze HuM's financial assets in accordance with Executive Order 13224, which also prohibited transactions with those who commit, threaten or support terrorism.[59] Pakistan's central bank quickly followed suit, and Pakistan officially banned the group in November.[60] In October Washington implemented a similar freeze on Jaish's assets, in large measure because of its support for the Taliban and al-Qaeda. The US government finally took this same action against Lashkar on 20 December, a week after the Parliament attack.[61] In response, Pakistan's central bank also ordered Lashkar's assets frozen.[62] By this time, the government had technically banned all militant groups from collecting donations for jihad from the public as well.[63] Anticipating asset seizures by the Pakistani authorities, Lashkar, Jaish and HuM withdrew their funds and invested them in legal ventures. Sources within the militant outfits confirmed this action, and Pakistani intelligence officials admitted no money was in their respective bank accounts by the time each was frozen.[64] While Lashkar was not the only group whose assets slipped through the slow-moving hand of the state, it was the richest jihadi organization in Pakistan and invested on a wider scale than the others: in agricultural land and legal businesses, including commodity trading, real estate and the production of consumer goods.[65] Even had the asset freeze been successful, it was not going to diffuse the crisis and America pressured Musharraf to ban Lashkar and Jaish.[66] On 26 December the US designated both outfits as Foreign Terrorist Organizations, meaning that Pakistan's continued backing of them was tantamount to state support for terrorism.[67] The Musharraf